

ASSIGNMENT NO. 7 (LEGAL RESEARCH)**AAR Attorney Alliance Advocates LLP****Virtual Internship Group-10, October 2025****Topic: Insurer's Liability under Return to Invoice (RTI) Add-On Cover*****Written By Alshan Husain Shah******Dated: 11.10.2025*****Introduction:**

In India, the law concerning the motor insurance policy is broadly governed by various acts, statutes and regulatory guidelines which are formed and executed by the Indian government. These insurance policies are administered mainly by **The Insurance Act, 1938, The Motor Vehicles Act, 1988** and by the **Insurance Regulatory and Development Authority of India (IRDAI)**. There are numbers of add on covers that are available for the motor insurance policy holders, but the *Return to Invoice* (RTI) offers an enhanced protection in case of total loss or theft of the insured motor vehicle. Under such add on cover, the insurance holder is eligible to receive the invoice value of the vehicle instead of just the insured value.

This research paper will examine that whether an insured customer is liable to the full RTI claim even if the model of the vehicle has been discontinued by the manufacturer or by the government. We shall also attempt to understand that what are the consequences when an insurance company without notifying or informing the policyholder about any such discontinuation still continues to collect the premium costs of the said policy.

Legal Nature and Enforceability of RTI Add on Covers:

According to the provisions of the Insurance Act, 1938, all forms of insurance contracts are obligated to be executed in a fair and legal manner. As per section 64 VB of the Insurance Act, 1938, the insurance companies are required to disclose all the terms and conditions properly to the insurance holder as a matter of legal right without any arbitrariness.

The RTI add on cover is a part of the conditions within a valid contract which creates contractual obligations and legal foundation on both the parties in an insurance policy. Once the insurance company receives the amount of the premium and issues an add on cover, it becomes a binding contractual obligation.

Indian courts have always recognized the legal stature of the add on covers which are enforceable in a court of law. In the case of *Pankaj Maheshwari v. SBI General Insurance Co. Ltd. (NCDRC, 2023)*, the National Consumer Disputes Redressal Commission (NCDRC) has ordered the insurance company to pay the full amount for replacing the vehicle with an “equivalent model which is similar as today.” This order has emphasized that RTI add on puts the obligations on the insurance company to pay the full amount for replacing the vehicle even if the model is discontinued. It is evident that add on covers is a part of the policy contract and it must be honoured as per the terms and conditions of the agreement.

Whether Discontinued Vehicle Model affects RTI Add on Cover?

The question of discontinuation of a vehicle model generally arises when the manufacturers and companies stop the production of certain vehicle models primarily due to regulatory compliances. Although, the RTI add on cover obligates to provide the same value of the vehicle to the policy holder irrespective of any changes in the market due to compliance. Generally, the courts have clarified that the discontinuation of a vehicle model does not terminate the terms and conditions of an RTI add on cover clause in the contractual agreement of an insurance policy.

In the case of *ICICI Lombard General Insurance Co. Ltd. v. Anil Sharma (NCDRC, 2021)*, it was held that the insurance company is bound by law to pay the full cost of the vehicle despite the model being discontinued if the RTI add on cover was active and no such information of its discontinuation is communicated to the policy holder while he consistently pays the premium of such add on.

Duty of Disclosure and Intimation by the Insurer:

According to Regulation 6(1) of the **Protection of Policyholders’ Interests Regulations, 2017**, the insurer is duty bound to disclose all the terms, conditions and exclusions before receiving any premium from the policy holder. Failure to do so may result in *deficiency in service* under section 2(11) of the **Consumer Protection Act, 2019**. When the insurer continues to collect the premium of the RTI add on covers even after the discontinuation of the vehicle model, without communicating it to the policy holder, amounts to unfair means of practice, which is in contrary to the principles of natural justice, equity and good conscience.

Hence, In various precedents, the NCDRC has observed that an insurer cannot refuse to pay the full amount of the insured vehicle if he willingly fails to inform the policy holder.

Analysis of Judicial Trends:

1. RTI Add on clause is a binding condition in a valid contractual agreement between the insurance company and the policy holder.
2. Discontinuation of an insured vehicle model cannot be taken as a defence by the insurance company to deny the payment of the insured vehicle to the policy holder upon a valid claim.
3. The insurance companies are duty bound to disclose any changes in the nature of the policy contract including the technical alterations like discontinuation of a vehicle model due to regulatory compliance.
4. Courts often prioritize the principles of natural justice and fair trial to secure the rights of the consumers.

Conclusion:

The judicial precedents in India assures that the *Return to Invoice Add On Covers* are enforceable terms of a contractual agreement of insurance policy between an insurance company and the policy holder. The discontinuation of a vehicle model is not a valid ground for refusal to an RTI claim.

Hence, the court has made this position clear that the insured consumer is entitled for the full amount of invoice value under the RTI coverage in the cases of theft or total loss, despite the discontinuation of the vehicle model.